

# UTI pitch deck

## PITCH — UTI — VERDICT

**ADJUDICATED 2026-08-07 — DECLINE the long at \$29.12 on two surviving legs (the ex-investment earnings cut is structural, and management reaffirmed a cash guide it could not hit); not a short; reopen only at \$21 or on proof the enrollment miss is recoverable. Tape has since fallen to \$23.70 — still above the gate, no entry authorized.**

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### What we believe

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Universal Technical Institute runs trade schools — auto, diesel, welding, HVAC, and (through its Concorde business) healthcare training. On 2026-08-05 it cut its full-year outlook for the first time in three years, and the stock fell 34% in a session. The obvious trade was to buy the panic: enrollment was still growing, management has a good track record, and the cut looked like the cost of opening new campuses.

We looked and concluded the cheap version of that story is wrong.

The company publishes a figure it calls **baseline earnings** — profit with every dollar of new-campus and new-program spending removed, by construction. It exists precisely so investors can see the base business without the expansion drag. That figure was cut from about **\$156M to about \$135M**, essentially as hard as the headline number. At the same time, spending on new campuses went **down**, from ~\$40M to ~\$35M. So the cut cannot be “we spent more on growth.” On the earnings call the CFO gave his own breakdown of the \$20M shortfall: roughly **70% a missed enrollment target in auto/diesel high-school recruiting, roughly 30% a permanent shift in what students choose to study** — and nothing attributed to spending timing. Stripped of expansion costs entirely, the base business is now guided to grow profit **1.7% on 7.3% more revenue**. That is margin going backwards in the part of the business that was supposed to be leveraging.

Second, and separately: on **2026-05-06** management reaffirmed full-year free cash flow of **+\$20–25M** when it already knew six-month cash flow was **–\$44.2M**. Hitting the reaffirmed number would have required the best second half in company history by a wide margin. Three months later the guide went to **–\$20M to \$0M**. The CEO also said the recruiting-staff shortfall (about 140 recruiters against a need for ~170) ran “throughout the year” — meaning the cause of the miss was knowable in May. The credibility break is the reaffirmation, not the cut.

Third, the fall in the stock is not a mystery to be arbitrated. A 12.9% cut to earnings times a 24.6% cut to the multiple equals 34.3%; the stock fell 34.2%. The multiple compression is earned: a company that beat and raised for two straight years carried a premium *for that reliability*, and the first cut removes it.

So: real business, real demand at the core brand, honest and complete disclosure — but the marketed takeaway (“timing, demand intact, long-term targets reaffirmed”) does not match the company’s own

segregated numbers. We decline at these prices. We are not short: the balance sheet has net cash, the operators are credible, and the 70% piece is a fixable staffing problem.

## What the market believes

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The market believes this is a temporary stumble at a good compounder. Six analysts cover it, all rated buy or strong buy, with an average price target of **\$41.83** — roughly 76% above today's \$23.70. The bull case is the company's own: student demand is strong (new starts grew 10.9% last quarter), the missed students are slipping into next year rather than disappearing, campus-expansion costs are front-loaded and will be absorbed as the new schools fill, and the 2029 targets (\$1.2B revenue, ~\$270M baseline profit) are intact.

The day after our court, the stock bounced 4.5% — the market re-bidding with no new information. Since then it has done the opposite: **-18.6% from \$29.12 to \$23.70**, now 11% above its 52-week low. We do not know what caused that drift and we say so below.

Two things the consensus is not arguing with, because it mostly does not discuss them: full-year earnings per share are guided **down 46%** (\$1.13 → ~\$0.60), and free cash flow **flipped from positive to negative**.

## Why we might have edge

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1. **We read the company's own control metric instead of its headline.** The press release leads with the one number that grew — student starts. Baseline earnings, the number designed to answer exactly the question at issue, is mentioned once in the filed release and reconciled only in a separate slide deck. Reading it is what turned “timing” into “structural.”
2. **A student start is not a unit of revenue.** Students are migrating from auto/diesel programs (~51 weeks) to skilled-trades programs (~9 months). A start counted at par carries roughly a quarter less revenue. That is why starts grew 10.9% while revenue grew 7.2% and the revenue guide fell. Anyone using starts as the “demand is fine” proof is using a metric that management itself names as a cause of the cut.
3. **We checked the reaffirmation against the cash flow statement.** Almost no one does the arithmetic on what a mid-year reaffirmation actually required.
4. **We read the credit-loss line.** Nine-month provision for student credit losses rose **48.7%** while the receivable book grew 5.8% and revenue grew 7.8%. Some of the enrollment growth is being financed in-house to less creditworthy students. This is disclosed in the cash flow statement and appears in no quote, headline, or slide.

## Why it might be priced in

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Honestly, most of it probably is, and our own benches said so.

- The 34% drop decomposes arithmetically into the earnings cut times the multiple reset with essentially no residual. Our blue team then pointed out that this decomposition is **a tautology** — price is by definition earnings times multiple, so the multiple leg absorbs whatever is left over and

the test can never find an overreaction. It proves nothing. The “no dislocation” conclusion has to rest on the peer comparison and the loss of beat-and-raise status, not on that identity.

- The stock is no longer expensive on a trailing basis. At \$23.70 it trades at about **10.3× last year’s actual profit — below the 10.9× it carried twelve months ago**. Red’s “more expensive than a year ago” point was true at \$27.88 and is no longer true at \$23.70. That leg has decayed with the tape.
- The base business is guided at “>**\$135M**” — a floor, not a point. The –12.5% cut is the worst case as management framed it.
- Baseline earnings strip out *investment* phasing, not *enrollment* phasing. If the missed high-school students genuinely enroll next year, part of the 70% comes back and the “structural” label softens. Our red team’s “0% timing” over-read the CFO’s spoken bridge.
- The company just refinanced into a **\$200M revolving credit facility maturing August 2031** with Fifth Third, JPMorgan, Truist, Citi and PNC (8-K filed 2026-08-18, accession 0001193125-26-354799). Five banks underwrote this business two weeks after the cut. That removes a funding tail we would otherwise have to carry against negative free cash flow — and it is evidence *against* the darkest reading. It is not evidence about earnings.

If the December-quarter enrollment recovers and the November guide holds the base business flat or better, the decline will look like a missed 44% move.

## What we checked ourselves

| Claim                                                                                               | How checked                                                                                                                                                                                | Found                                                                                                                                                                                                                                | Confirmed?                                    |
|-----------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|
| Full-year profit guide cut 12.9% (\$116.5M → \$101.5M midpoint)                                     | Compared guidance tables in the 2026-08-05 8-K against the 2026-02-04 8-K                                                                                                                  | Exact at midpoints                                                                                                                                                                                                                   | <b>Yes</b>                                    |
| Baseline (ex-expansion) profit cut from ~\$156M to >\$135M while expansion spend fell \$40M → \$35M | Verbatim slide strings in the Q3 FY26 investor presentation vs. the Q1 FY26 earnings release; blue team independently corroborated both from the company’s own investor-relations releases | Confirmed from primary documents                                                                                                                                                                                                     | <b>Yes — this is the load-bearing finding</b> |
| “The cut is 0% timing”                                                                              | Read the CFO’s spoken breakdown on the call                                                                                                                                                | <b>Our red bench over-read it.</b> Baseline excludes <i>spending</i> phasing, not <i>enrollment</i> phasing. Management’s “timing” means students slipping into FY27, which baseline does not strip. Part of the 70% is recoverable. | <b>Reduced — bench error</b>                  |
| “The 34% fall is fully explained, so no overreaction to buy”                                        | Blue team re-derived the arithmetic                                                                                                                                                        | <b>Our red bench’s decomposition is circular</b> — the multiple is the residual by construction, so it can never find an overreaction. The conclusion survives on other grounds; this proof does not.                                | <b>No — bench error</b>                       |
| “Concorde demand is breaking (37% of                                                                | Blue team re-read red’s own table                                                                                                                                                          | <b>Overstated.</b> Concorde revenue +11.1%, active students +8.5%, segment profit                                                                                                                                                    | <b>No — bench error, downgraded</b>           |

| Claim                                                                                          | How checked                                                                                                                                                         | Found                                                                                                                                                                                                                                                                               | Confirmed?                                          |
|------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
| revenue)”                                                                                      |                                                                                                                                                                     | +95.7%. One quarter of starts –1.4% against a tough +9.1% comparison is a conversion wobble, not a demand break. Downgraded to a watch item.                                                                                                                                        |                                                     |
| “LINC (the closest public comparable) has the identical drag, so this is execution not sector” | Blue team checked the periods and the size                                                                                                                          | <b>Mismatched.</b> LINC’s quarter is Jan–Mar, UTI’s is Apr–Jun; LINC’s expansion drag is ~1.7% of revenue vs UTI’s ~3.9% — more than twice the relative load. Not “identical.” Direction is plausible, pending LINC’s Q2.                                                           | <b>No — bench error, not load-bearing</b>           |
| Credit-loss provision up 48.7% on a receivable book up 5.8%                                    | Read the 10-Q cash flow statement                                                                                                                                   | Directionally confirmed, <b>but</b> the receivable comparison puts 6/30 against 9/30, which are different points in the school-year cycle. Seasonally mismatched.                                                                                                                   | <b>Flagged — needs a clean same-date comparison</b> |
| Guidance track record before this cut                                                          | Pulled the FY24 and FY25 year-end releases                                                                                                                          | Genuinely beat all three headline metrics in FY25, revenue \$20.6M above the high end. <b>This cuts against our case</b> — these are credible operators, which is exactly why the premium existed and exactly why losing it costs so much multiple.                                 | <b>Yes — reported against ourselves</b>             |
| Is this an ignored stock the market has mispriced?                                             | Blue team checked coverage                                                                                                                                          | <b>No.</b> Six analysts, all buy-rated, average target \$41.83. Our red bench never disclosed it was arguing against the covering consensus rather than against neglect.                                                                                                            | <b>Bench omission</b>                               |
| “The market is already re-bidding without new information” (blue, at \$29.12, +4.5%)           | The tape since                                                                                                                                                      | <b>Wrong.</b> The stock is \$23.70, down 18.6% from that call. Blue’s read of the bounce did not hold for two weeks.                                                                                                                                                                | <b>No — bench error</b>                             |
| Revenue growth of ~7.2% in the quarter                                                         | Cross-checked against the audited quarterly revenue series in our own evidence pack (\$204.3M in the year-ago quarter vs. \$218.9M of segment revenue this quarter) | +7.15%, matches                                                                                                                                                                                                                                                                     | <b>Yes</b>                                          |
| Blue bench’s own coverage                                                                      | Blue reported it                                                                                                                                                    | Blue could not fetch SEC directly (blocked), had no market-data or local-desk access, and <b>could not run the mandatory seasonality check</b> on red’s deceleration claims. It verified via company press releases and public quote pages instead and marked the rest “plausible.” | <b>Partial — gap disclosed, not papered over</b>    |
| Next reporting date 2026-11-18                                                                 | Evidence pack                                                                                                                                                       | Derived from a market-data vendor, <b>not confirmed by any company announcement.</b> Treat as approximate.                                                                                                                                                                          | <b>No — unconfirmed</b>                             |
| Our own armed sensor dates                                                                     | Compared to the company’s actual reporting calendar                                                                                                                 | <b>Our sensor dates are wrong.</b> The FY27 outlook comes with year-end results in <b>mid-to-late November</b> (FY25’s initial guide was issued 2024-11-                                                                                                                            | <b>No — sensor error, corrected below</b>           |

| Claim | How checked | Found                                                                                                                                                                                                                                                                       | Confirmed? |
|-------|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
|       |             | 20; FY26's on 2025-11-xx with the Q4 release) — not December 10. And the “Q1 FY27 starts” test does not report until <b>early February 2027</b> (last year's Q1 landed 2026-02-04). The existing pack conflates two separate events and is late on one, early on the other. |            |

## PROPOSED ENTRY BANDS

**There is no entry. Position: none. Orders: none. Size authorized today: 0% of book.**

The adjudication is a decline, not a wait-for-a-dip. The reopen conditions below are taken verbatim from the adjudication and are not to be substituted with our own levels:

- **Price  $\leq$  \$21  $\rightarrow$  re-derive.** This is a trigger to redo the work, not a buy order. Reaching \$21 does not by itself authorize size.
- **Q1 FY27 starts  $\geq$  +12%  $\rightarrow$  the flip path activates.** This is the test of whether the missed students actually enrolled rather than vanished. If it fires, the “structural” label on the 70% piece fails and the long is genuinely back on the table.
- **LINC Q2 (2026-08-10): if LINC absorbs its (smaller) expansion drag and raises guidance again, the “this is UTI’s execution, not the sector” leg strengthens. If LINC cuts too, it is the sector, not execution  $\rightarrow$  soften our case.**

**Where the price sits against the gate.** At \$23.70 the stock is **11.4% above the \$21 reopen** and 11.3% above its 52-week low of \$21.29 — the gate and the low are effectively the same level. That matters: if it gets there, we must establish whether it is a real repricing on new information or just drift, because a reopen that coincides with a technical low invites us to buy our own chart. At \$21 the company would be worth about \$1.17B, roughly **11.4 $\times$  guided profit** and **35 $\times$  guided earnings per share**, still with negative free cash flow this year. At today’s \$23.70 those are **12.9 $\times$**  and **39 $\times$** .

**No adds, no trims, no exits** — there is nothing to add to or trim. If a re-derive at  $\leq$ \$21 clears, standing doctrine gives it a minimum starter and the size is set at that re-derive, not pre-committed here.

**Catalyst dates: - 2026-08-10 — LINC Q2 (already passed, result not yet pulled into this deck).** This is an open obligation, not a future event. - **~2026-11-18 (unconfirmed) — FY26 year-end results and the initial FY27 outlook.** This is the real test and the single most important date. Two things resolve here: (a) the FY27 baseline profit guide — does the base business re-accelerate or is 15% margin the new level; (b) the fourth-quarter cash number. The current-year cash guide implies **fourth-quarter operating cash flow of about \$79.6M against \$57.1M last year — up 39% in a year when nine-month cash flow is down 57%.** That is the most fragile number in the guide. - **~2027-02-03 (unconfirmed) — Q1 FY27 results,** which carry the  $\geq$  +12% starts test.

## ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 21.0 (deck-provisional: Court reopen gate: at or below \$21 re-derive the whole case; reaching it authorizes work, not size.)
- filing watch: 8-K until 2027-02-17 (deck-provisional: FY26 year-end results and the initial FY27 outlook — the FY27 baseline profit guide and the ~\$79.6M im)
- dated pack UTI|2026-12-10: UTI FY27 baseline guide (~Dec): HIT = baseline EBITDA guide >= \$150M (structural cut recovering) OR Q1 starts >= +12%. RESOLVE: python3 -m d
- dated pack UTI|2026-08-10: UTI: LINC Q2 — court trigger already passed and never resolved; raise strengthens the execution-gap leg, cut means sector not execution. (da
- dated pack UTI|2026-11-18: UTI: FY26 year-end results plus initial FY27 outlook; HIT = FY27 baseline EBITDA guide >= \$150M. Corrects the 2026-12-10 pack, which is roug
- dated pack UTI|2027-02-03: UTI: Q1 FY27 results — the starts test; >= +12% activates the flip path. Cannot resolve in December. (date confirmed=False)

## What remains unverified

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- **The result of LINC's Q2 (2026-08-10).** Our own court named it as the nearest test and it has not been resolved. Until it is, the “this is UTI-specific execution, not an industry problem” leg is unproven in either direction.
- **Everything in the blue bench marked “plausible.”** Blue could not reach SEC directly, had no market data or local desk access, and could not run the seasonality check that was mandatory on red's deceleration claims. The May reaffirmation arithmetic and the credit-provision finding are internally consistent but were **not independently re-verified**. They are red-team work that survived review by argument, not by a second data pull.
- **The credit-provision receivable comparison** mixes a June 30 balance with a September 30 balance. The direction is probably right; the magnitude is not established.
- **What caused the 18.6% decline since the court.** Unknown. Could be information; could be drift.
- **Whether the missed auto/diesel high-school students actually enroll in FY27.** This is the whole flip path and it cannot be known before February 2027.
- **The November reporting date (2026-11-18)** comes from a market-data vendor, not a company announcement.
- **Our evidence pack's audited quarterly figures stop at the June 2025 quarter** and do not yet include the FY26 quarters from the 10-Q filed 2026-08-06. Current-year figures in this deck come from the earnings release and the 10-Q as read by the benches, not from our own structured data.
- **The \$200M revolver's covenants and pricing.** We have the first page of the 8-K, which gives size, banks, 2031 maturity and interest-only terms, but not the leverage covenants — which matter for a company guiding negative free cash flow. Full text:  
<https://www.sec.gov/Archives/edgar/data/1261654/000119312526354799/>

- **Primary sources this deck rests on** (both fetched and quoted verbatim by the benches): Q3 FY26 investor presentation, <https://www.sec.gov/Archives/edgar/data/1261654/000126165426000015/q3fy2026investorpresenta.ht> – and the Q1 FY26 earnings release establishing the original ~\$156M baseline guide, <https://www.sec.gov/Archives/edgar/data/1261654/000126165426000003/exhibit991-q12026earningsp.htm>

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